L&T Finance Holdings

Investor Presentation
FY ’12

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L&T Finance Holdings

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Performance Highlights

Summary of Financial Performance

L&T Finance Holdings

L&T Finance Holdings	Q4 FY12	Q4FY11	Q-o-Q	FY12	FY11	Y-o-Y
NBFCs						
Loans and Advances (Rs Cr.)	25,441.5	18,272.1	39.24%	25,441.5	18,272.1	39.24%
PAT (Rs. Cr.)	138.9	111.2	24.96%	466.2	432.4	7.81%
NIM (%)	5.95%	6.57%	-	5.38%	6.84%	-
Fee Income (%)	0.44%	0.49%	-	0.41%	0.54%	-
Operating Expenses (%)	1.99%	1.73%	-	1.76%	1.83%	-
Gross NPA (%)	1.80%	1.07%	-	1.80%	1.07%	-
Credit Losses * (%)	0.69%	0.75%	-	0.94%	1.16%	-
Investment Mgmt						
Average AUM (Rs. Cr.)	3897.6	4029.8	-	-	-	-
PAT (Rs. Cr.)	(8.6)	(10.9)	-	(25.3)	(39.6)	-
L&T Finance Holdings (Consolidated)						
PAT (Rs. Cr.)	140.7	97.4	44.50%	454.8	391.2	16.26%
Networth (Rs. Cr.)	4752.7	2891.2	64.39%	4752.7	2891.2	64.39%

*: *Includes Provisions, write-offs and foreclosure losses*

Past performance may or may not be sustained in the future. Please refer to the website www.lntmf.com for further details.
Please refer to annexure at the end of this presentation for the asset wise and geography wise AUM disclosures, disclaimers and risk factors

The year that was…

L&T Finance Holdings

- Policy and Governance environment impacted the economic scenario
  - Reform process made limited progress
  - Government decision making slowed down
- Persistent inflation resulting in high interest rate environment
  - Aggravated by high liquidity deficits
  - Inverted yield curve posed a serious risk
- Global environment remained weak and uncertain
- Industrial slow down, resulting in moderate GDP growth
  - Capital raising turned difficult
  - Lengthened working capital cycles
  - Several sectors suffered cash flow issues
- Rural segment continued to be robust
  - Good monsoons and higher Minimum Support Prices
  - Rural Employment Guarantee schemes maintained rural cash flows

Overall it was a challenging year

Important developments during the quarter

L&T Finance Holdings

Indo-Pacific Housing Finance (IPHF)

- Signed definitive agreements (subject to regulatory approvals)
- IPHF is registered with NHB, access to SARFAESI, can accept deposits
- Book size of Rs. 193 Cr, Zero Net NPA
- Highly capitalized, networth of Rs. 105 Cr
- Benefit of fully functional operating platform and a professional team with domain expertise
- Leveraging L&T brand and reach to build a robust portfolio

Fidelity Mutual Fund

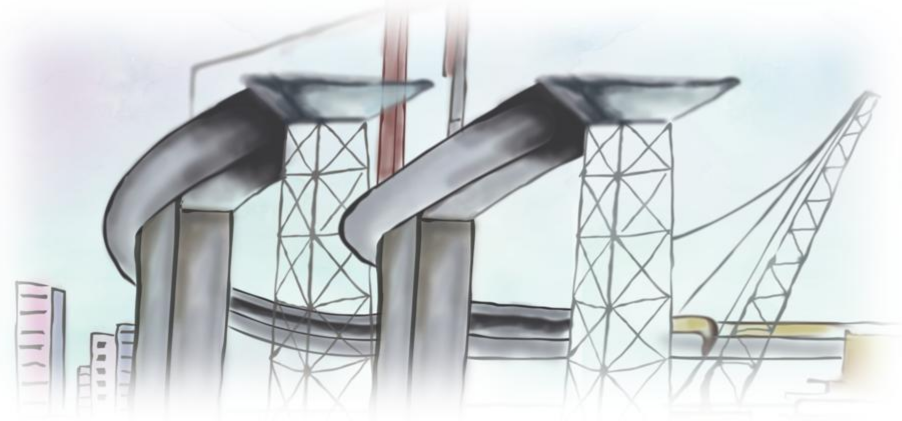
- Signed definitive agreements (subject to regulatory approvals)
- Provides L&T MF the necessary scale, & access to retail customers to grow profitably
  - Combined overall rank of 13 and equity rank of 10
- Complimentary by asset class, investor segment, distribution strength

Foray into wealth mgmt

- LTFH enters the wealth management business
- Top management team is already in place

Loan company operationalized

- L&T FinCorp Limited (previously known as IIDL) operationalised
- To focus on non AFC loans



Company Overview

Infrastructure Finance | Corporate Finance | Retail Finance | Investment Management

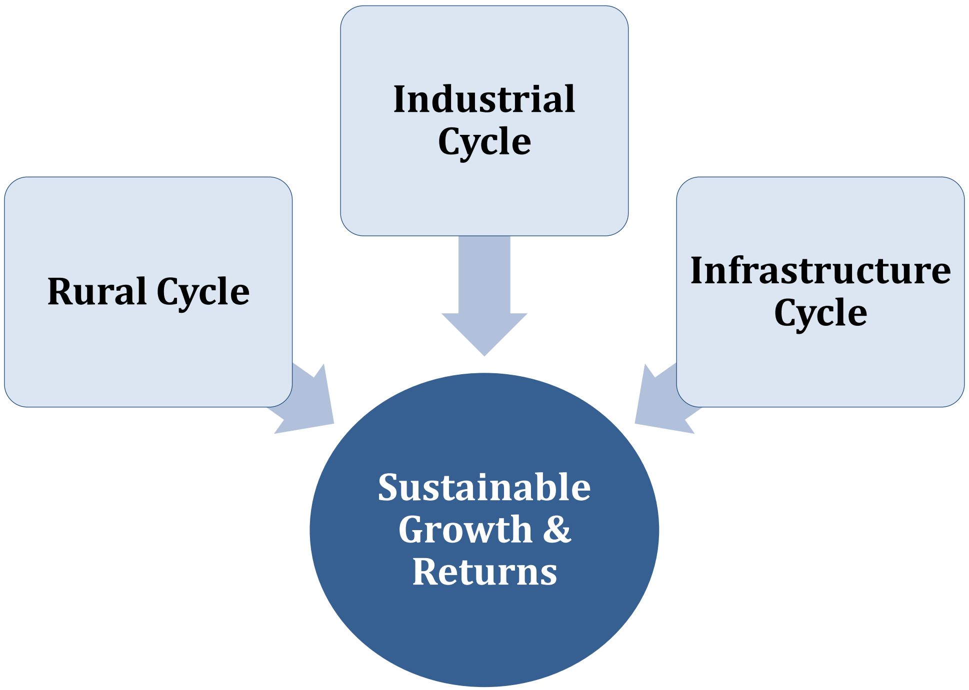
Vision for Financial Services

- Financial Services sector offers an attractive business opportunity
  - Indian Economy in a growth phase
  - Low penetration of Financial Services
  - Favorable demographic factors
- LTFH's vision is to emerge as one of the market leaders in the Indian financial services sector by
  - Offering all products and services under one roof
  - Addressing the needs across all customer segments
- Diversification into multiple business lines would de-risk the portfolio
- Servicing all needs of the customer under one roof would help own him and increase wallet share
- Leverage L&T's parentage
  - Brand equity as a trusted and a large, stable corporate
  - Domain expertise and risk assessment capabilities

Unique Business Model – Diversified Portfolio

L&T Finance Holdings

Play across three de-linked levers of growth



Diversification across

- Business lines / asset classes
- Geographies
  - Presence across urban, semi urban and rural markets
- Customer segments
  - Catering to large corporate, SME and retail customers

Rationale

- Provides multiple avenues to achieve growth by focusing on product adjacencies
- Reduces concentration risk and de-risks the portfolio
- Helps achieve better asset quality

L&T Finance Holdings – An Overview

L&T Finance Holdings

L&T Finance
- Retail Finance
- Corporate Finance

- Financial Products Distribution

L&T Mutual Fund
- Mutual fund
- Portfolio management
- Wealth Management

L&T FinCorp*
- Non asset-backed / SME financing

L&T Infra
- Project Finance
- Corporate Loans

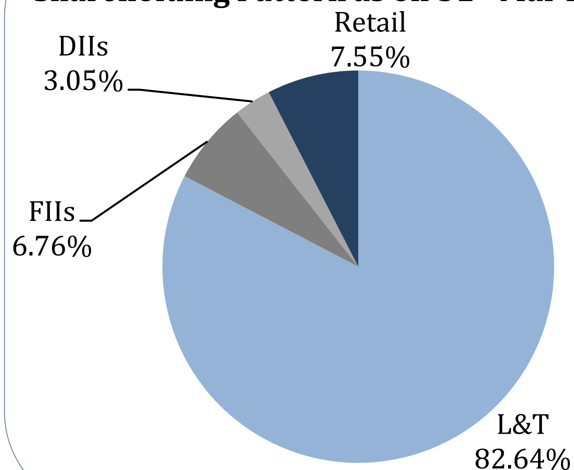
- Financial Advisory

Investments
- 5% interest in Federal Bank and City Union Bank

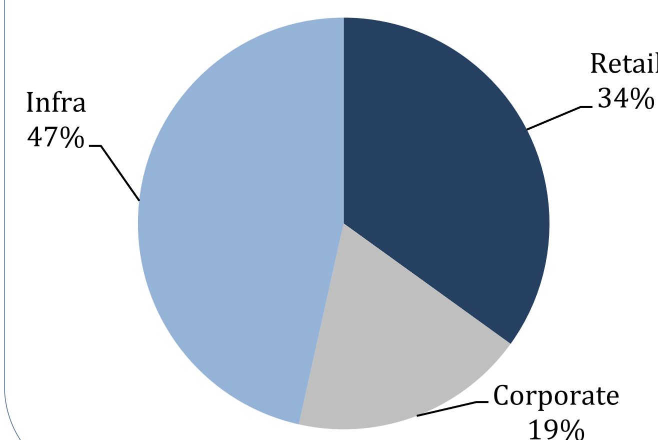
Fee based businesses

Fund based businesses

Shareholding Pattern as on 31st Mar 2012



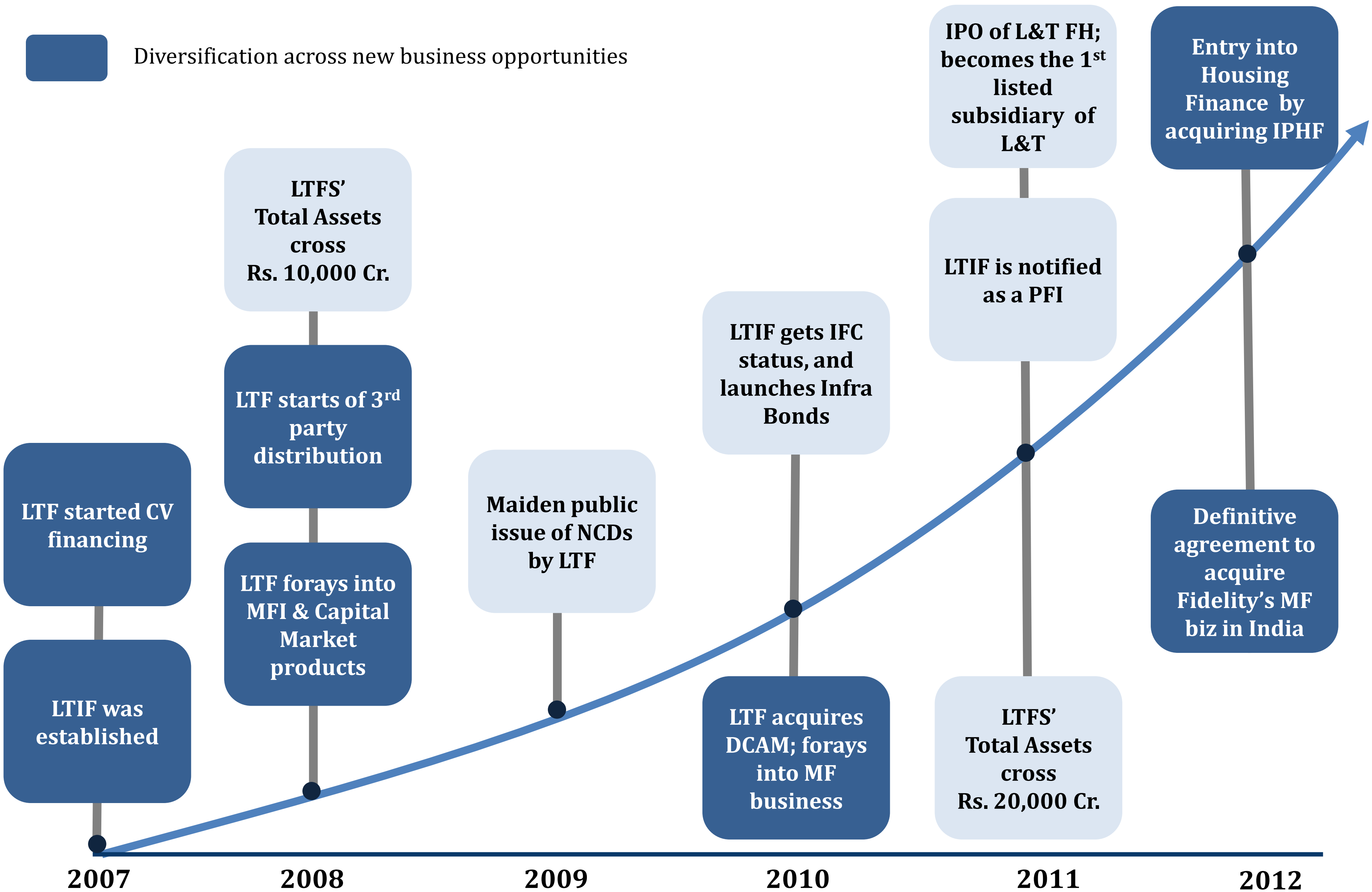
Loans and Advances as on 31st Mar 2012



** Previously known as India Infrastructure Developers Limited*

Key Milestones

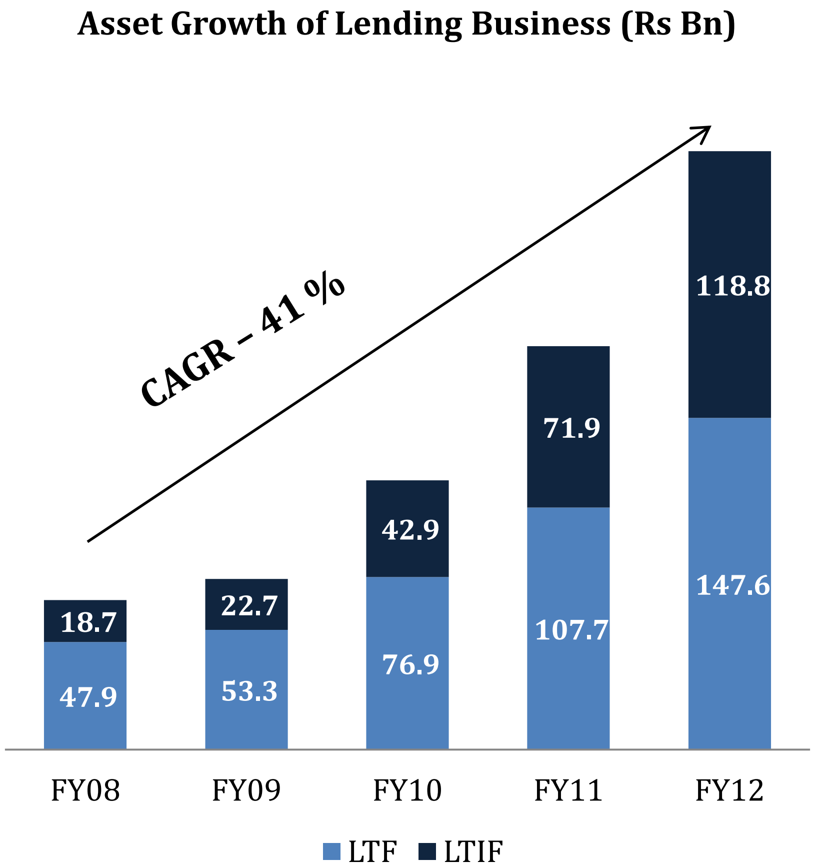
L&T Finance Holdings

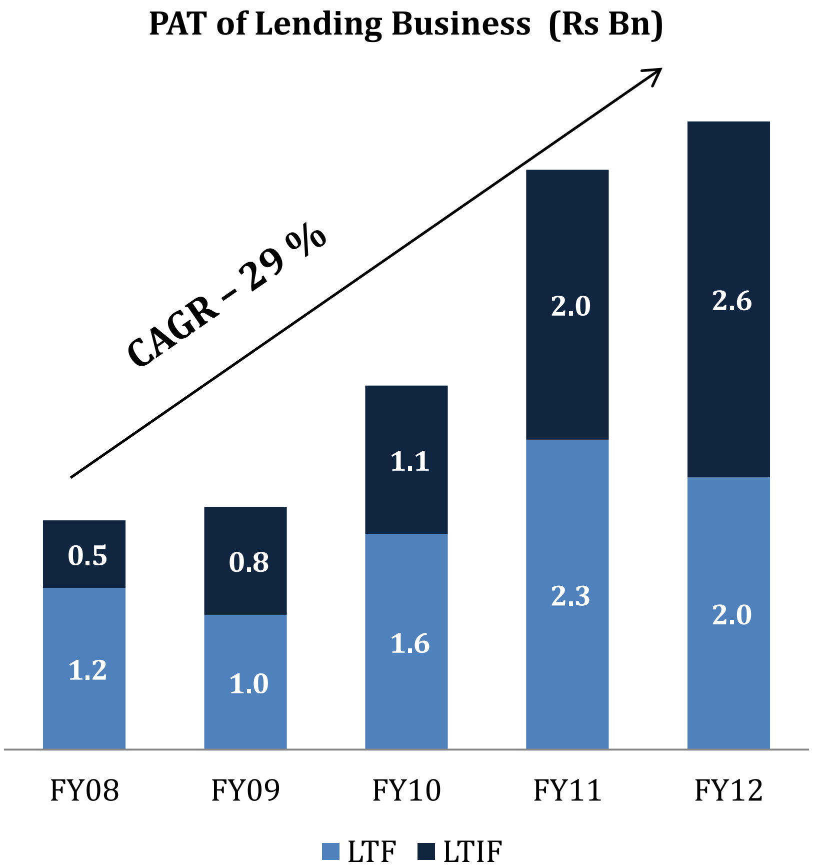


Infrastructure Finance | Corporate Finance | Retail Finance | Investment Management

Robust Asset Growth and Profitability

L&T Finance Holdings





1. LTF includes L&T Finance Limited and L&T FinCorp Limited

Overview of Businesses

Infrastructure Finance | Corporate Finance | Retail Finance | Investment Management

L&T Finance and L&T FinCorp – Overview

Business Segments

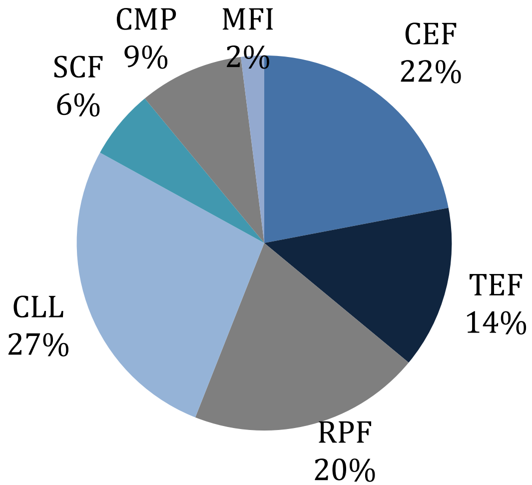
Retail Finance Group
- Construction Equipment Finance (CEF)
- Transportation Equipment Finance (TEF)
- Rural Products Finance (RPF)
- Financial Product Distribution (FPD)
- Micro Finance (MFI)

Corporate Finance Group
- Corporate loans and leases (CLL)
- Supply Chain Finance (SCF)
- Capital market products (CMP)

Business Model & Key Strengths

- Business model based on strong dealer / manufacturer tie-ups / relationships
- Focus on unique in house self origination model
- Strong rural & semi urban footprint
- Proactive asset management
- Industry knowledge of parent helps in identifying opportunities and manage risk

Loan Assets as on Mar 31st 2012



Reach & Presence

100+ branches and 500+ rural points of presence

States in which L&T Finance Holdings is present

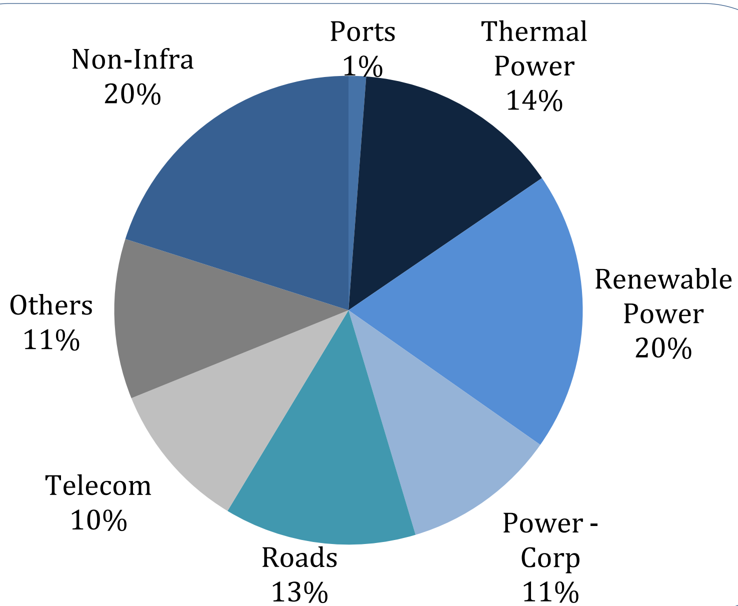
L&T Infra – Overview

L&T Finance Holdings

Business Segments

- Project Finance
    - *Senior Debt*
    - *Mezzanine Debt*
- Equity Investment
- Financial Advisory including Syndication & Underwriting Services

Loan Assets as on Mar 31st 2012



Business Model & Key Strengths

- In house loan origination driving operational efficiency
- Leveraging strong relationship with corporates
- Benefits of IFC and PFI status
- Strong appraisal skills
- Ability to understand customer requirement and tailor solutions
- Effective use of L&T ecosystem
    - Leverage domain knowledge / expertise

L&T Mutual Fund – Overview

L&T Finance Holdings

- Forayed into the Business in January 2010 through acquisition of DBS Cholamandalam Asset Management Ltd
- Operates through two business segments
  - Mutual Fund
    - 31 schemes across asset classes
  - Portfolio Management Services
    - Offered to institutional customers and HNIs

Performance since acquisition

Item	FY 10	FY 11	FY 12
Avg. AUM (Rs. Bn.)	25.87#	37.80^	38.98^
Market Share	0.36%	0.54%	0.58%
Management Fee/AUM	0.15%	0.17%	0.22%
PAT (Rs. Bn.)	(0.27)	(0.39)	(0.25)

Source: AMFI

^ AAUM for the quarter ended March, # AAUM for the month of March

- We acquired Fidelity's Mutual Fund business in India, which provides L&T MF with the necessary scale, products and access to retail customers to grow profitably

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Microfinance

L&T Finance Holdings

Sectoral Developments

- Regulatory landscape still remains blurred
  - Partial implementation of Malegam Committee recommendations
  - NBFC-MFI registration process yet to evolve
  - Draft MFI Bill – Yet to be formally tabled in the parliament
- Sector landscape has changed
  - Cap on spread emphasises Opex reduction
  - Limited funding sources
  - Gradual shift from microcredit to a bouquet of financial products

Internal Developments

AP

- Marginal collections continue on the back of certain initiatives

Non AP

- In process of registering L&T Unnati as NBFC-MFI
- Focus on operational efficiency
- Rationalization of manpower
- End to end robust systems and processes to manage inherent risks
- Use of credit bureau to improve sourcing quality
- Training a major thrust area
- Surveillance mechanism in place to check fraud

Non AP Update

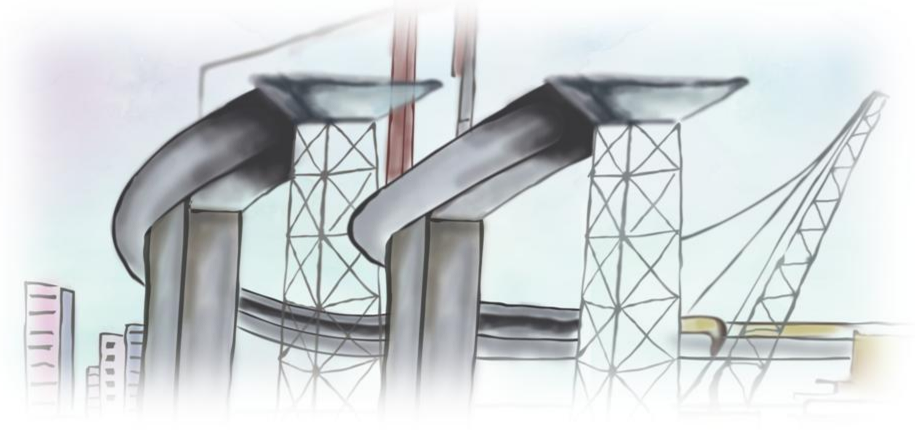
(Rs Cr)	Mar-11	Mar-12
Loan and Advances	264.67	132.21

AP Update

Gross portfolio	Write-off	Provision	Net portfolio[1]
192.66 Cr	90.53 Cr	44.15 Cr	57.99 Cr

More than Rs. 3 trillion opportunity[2]

1. *After write off Rs. 90.53 cr*
2. *Intellecap ; "Inverting The Pyramid" 2009*



Financial Performance

L&T FH Consolidated

L&T Finance Holdings

Q4FY11	FY11	Summary P&L (Rs. Cr.)	Q4FY12	FY12	FY12 v FY11	Q4FY12 v Q4FY11
603.1	2116.9	Total Income	851.8	3007.3	42.1%	41.2%
304.9	1020.7	Interest Cost	472.7	1707.2	67.3%	55.0%
91.8	317.9	Operating Expenses	124	432.4	36.0%	35.1%
52.7	166.8	Credit Losses	39.8	183.4	10.0%	-24.5%
97.4	391.2	PAT (after extra ordinary items)	140.7	454.8	16.3%	44.5%

FY11	Summary Balance Sheet (Rs. Cr.)	FY12	Y-o-Y
2891.2	Networth	4754.8	64.5%
18272.1	Gross Loans & Advances	25441.4	39.2%
191.7	Gross NPAs (incl MFI)	449.5	
116.8	Net NPAs (incl MFI)	291.4	
182.6	Gross NPAs (excl MFI)	329.0	
116.8	Net NPAs (excl MFI)	233.4	

L&T Infra

L&T Finance Holdings

Q4FY11	FY11	Summary P&L (Rs. Cr.)	Q4FY12	FY12
200.7	680.0	Net Interest Income	329.5	1,153.9
6.2	24.1	Fee Income	8.8	30.0
121.2	380.2	Interest Cost	199.5	717.4
6.0	24.1	Operating Expenses	19.8	55.1
5.6	5.8	Credit Losses	15.0	33.2
51.2	200.8	PAT	71.0	263.9

FY11	Summary Balance Sheet (Rs. Cr)	FY12
7534.0	Gross Loans & Advances	10913.5
48.4	Gross NPAs	177.7
37.9	Net NPAs	151.8

Q4FY11	FY11	Key Ratios	Q4FY12	FY12
12.07%	11.53%	Yield on Loans	12.79%	12.51%
8.66%	7.29%	Cost of Funds	8.98%	9.49%
4.79%	5.09%	Net Interest Margin	5.04%	4.73%
0.37%	0.41%	Fee Income	0.34%	0.32%
0.36%	0.41%	Operating Expenses	0.77%	0.60%
0.34%	0.10%	Credit Losses	0.58%	0.36%
16.72%	17.46%	Return on Equity	15.93%	16.91%
2.95%	3.36%	Return on Assets	2.74%	2.81%
4.57	4.53	Average Gearing	4.98	4.37
0.67%	0.67%	Gross NPA %	1.69%	1.69%
0.53%	0.53%	Net NPA %	1.45%	1.45%

Note:
The denominator for all ratios have been taken as the average of opening and closing numbers for the period

L&T Finance (incl L&T FinCorp)

L&T Finance Holdings

Q4FY11	FY11	Summary P&L (Rs. Cr.)	Q4FY12	FY12
341.7	1,189.6	Net Interest Income	502.2	1,669.5
12.8	40.7	Fee Income	17.6	59.0
169.3	579.4	Interest Cost	273.0	969.6
44.2	163.7	Operating Expenses	83.2	245.9
(10.1)	85.8	Credit Losses	19.7	78.6
103.4	264.5	PAT	91.6	292.5

FY11	Summary Balance Sheet (Rs. Cr)	FY12
10,705.8	Gross Loans & Advances	14,303.8
134.2	Gross NPAs	151.4
78.8	Net NPAs	81.6

Q4FY11	FY11	Key Ratios	Q4FY12	FY12
13.67%	13.23%	Yield on Loans	14.41%	13.35%
8.04%	7.81%	Cost of Funds	9.29%	9.44%
6.90%	6.79%	Net Int Margin	6.57%	5.60%
0.51%	0.45%	Fee Income	0.50%	0.47%
1.77%	1.82%	Opex	2.39%	1.97%
-0.40%	0.95%	Credit Losses	0.57%	0.63%
27.11%	19.94%	Return on Equity	17.63%	15.70%
4.02%	2.91%	Return on Assets	2.54%	2.24%
5.52	5.59	Average Gearing	5.65	5.51
1.38%	1.38%	Gross NPA %	1.22%	1.22%
0.82%	0.82%	Net NPA %	0.66%	0.66%

Note:
All numbers exclude microfinance.
Gross NPA and Net NPA are for L&T Finance only. There are no NPAs in L&T FinCorp.
The denominator for all ratios have been taken as the average of opening and closing numbers for the period
Excludes certain group assets and investments in AMC/ARC

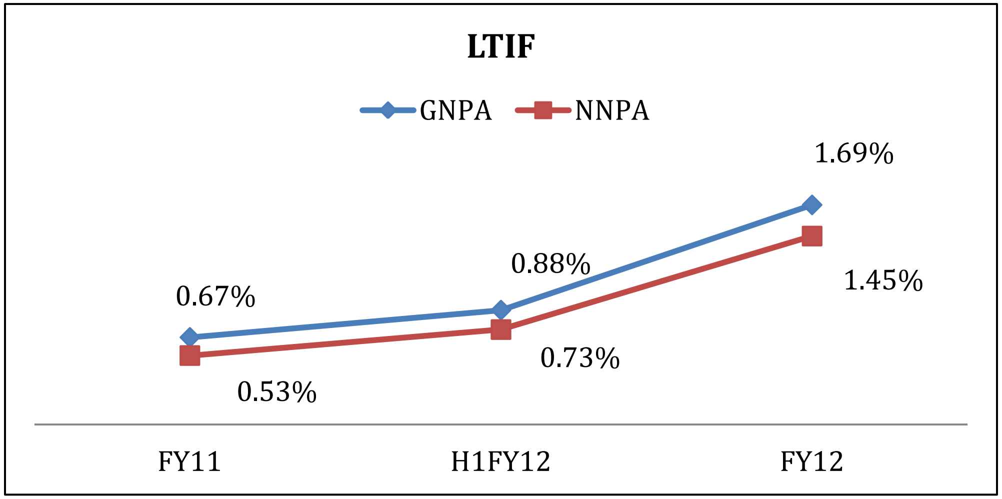
Microfinance

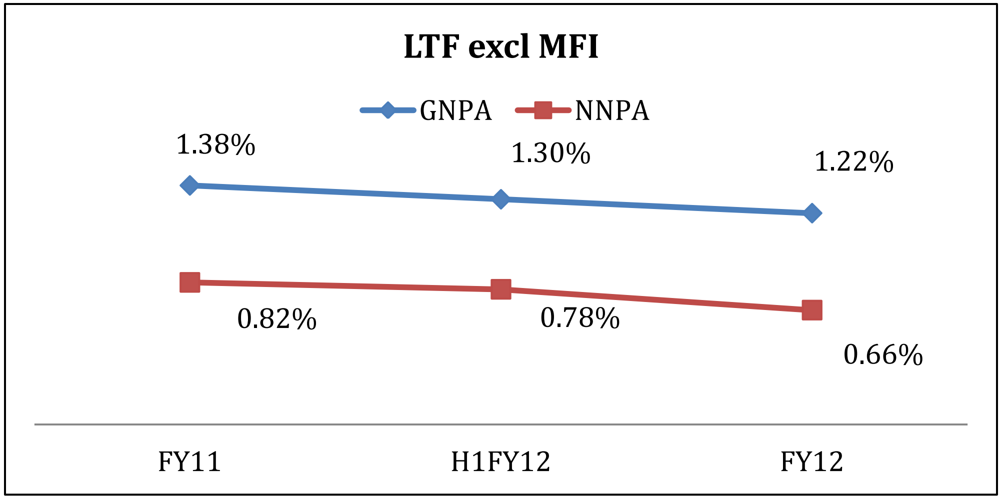
L&T Finance Holdings

Q4FY11	FY11	Summary P&L (Rs. Cr.)	Q4FY12	FY12
20.0	108.7	Net Interest Income	5.5	35.7
1.6	14.4	Fee Income	0.4	1.7
9.1	37.0	Interest Cost	6.7	29.8
13.1	44.7	Operating Expenses	9.0	37.3
61.1	79.2	Credit Losses	28.0	93.2
(42.0)	(24.9)	PAT	(24.5)	(82.7)

FY11	Summary Balance Sheet (Rs. Cr.)	FY12
302.0	Gross Loans & Advances	234.3
91.8	Gross NPAs	120.5
-	Net NPAs	58.0

Asset Quality





LTIF Provision Norms

- Provision on standard assets @ 0.25% to 0.50% even before RBI stipulation
- Making contingency provision over and above standard provision as a stringent practice

LTF Provision Norms

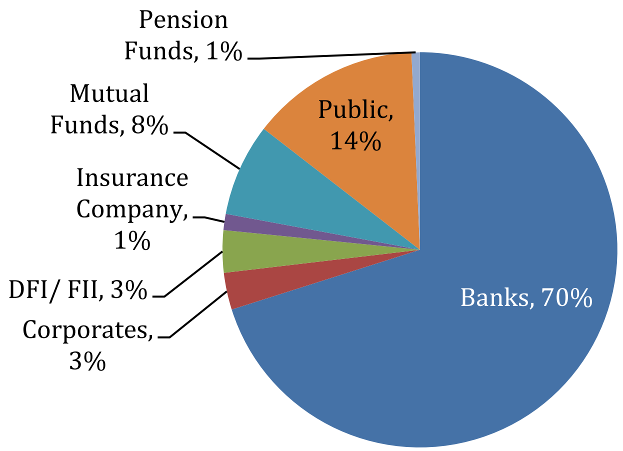
- For loans outstanding beyond 180 days, the difference between principal not recovered and notional asset value is provided for.
- Any loan outstanding for period beyond 540 days is provided for in total.
- 100% provision against unsecured loans*
- Reflects the potential loss in the P&L and insulates the Balance Sheet against any shock or volatility

** Except AP portfolio of Microfinance*

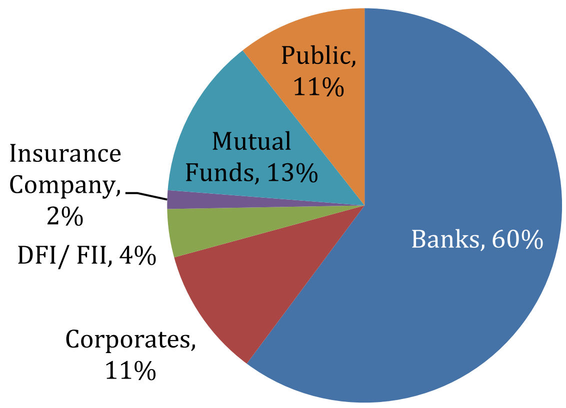
Debt Composition

L&T Finance Holdings

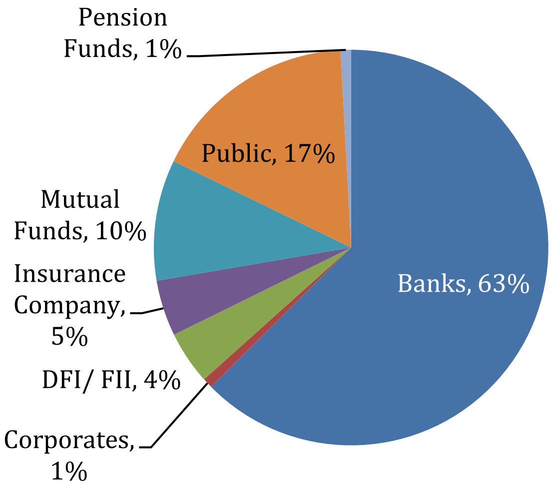
LTF as on 31st Mar 2012



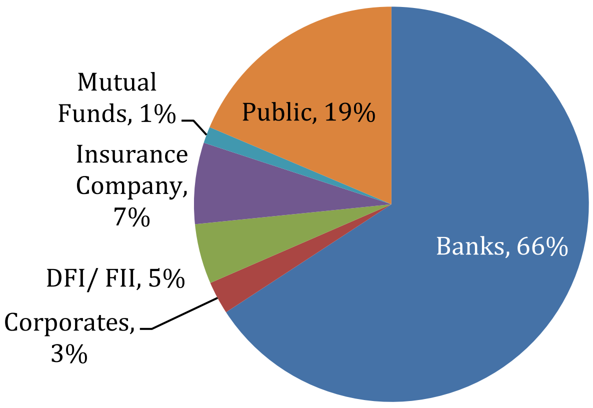
LTIF as on 31st Mar 2012



LTF as on 31st Mar 2011



LTIF as on 31st Mar 2011



Outlook

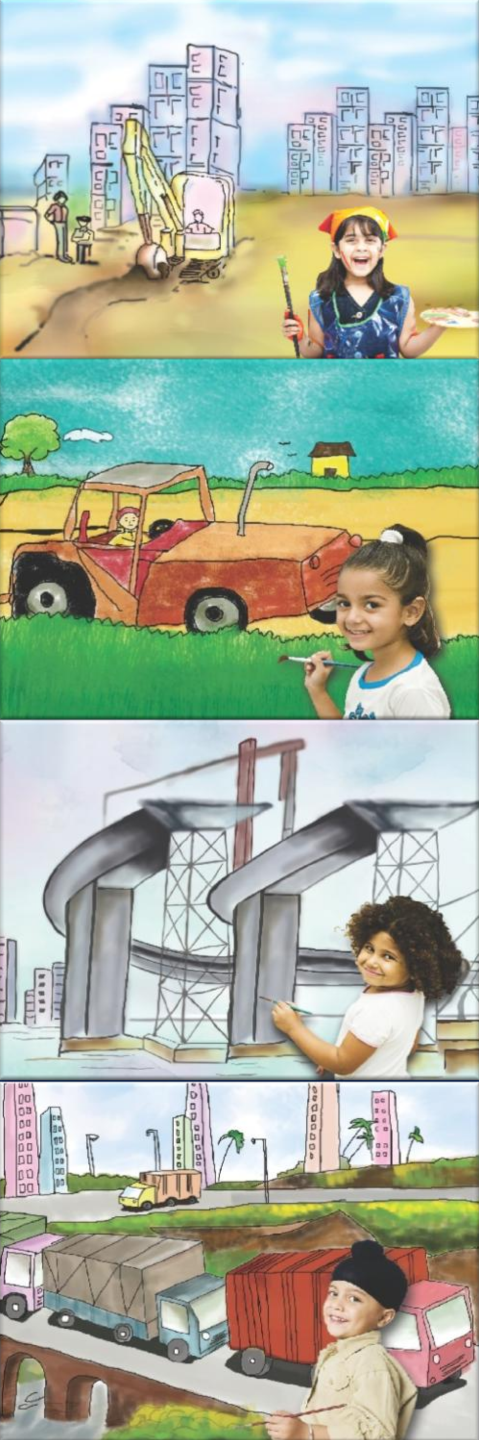
L&T Finance Holdings

Calibrated growth in assets expected

Margins expected to stabilize around current levels; expected to increase in H2

Asset quality expected to improve marginally; we will monitor closely

Driving cost leadership as a sustainable competitive advantage



L&T Finance Holdings

Thank you !

Annexure

L&T Finance Holdings

Risk Factors and Disclaimers pertaining to L&T Mutual Fund

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Statutory Details: L&T Mutual Fund has been established as a trust under the Indian Trust Act, 1882 by L&T Finance Limited, Sponsor/ Settler (liability restricted to the seed corpus of Rs. 1 lakh) with L&T Mutual Fund Trustee Limited as the Trustee Company and L&T Investment Management Limited as the Investment Manager.

Risk Factors: Mutual Fund Investments are subject to market risks, read all scheme related documents carefully.

Annexure

L&T Finance Holdings

AUM Report for Qtr ended 31st Mar 2012

Asset class wise disclosure of AUM & AAUM (in Rs. L)

Category	AUM as on the last day of the Quarter	Average AUM for the Quarter
Income	128,622	165,137
Equity (other than ELSS)	23,484	23,907
Balanced	-	-
Liquid	78,868	197,465
Gilt	170	170
Equity - ELSS	3,141	3,081
GOLD ETF	-	-
Other ETF	-	-
Fund of Fund investing overseas	-	-
Total	234,286	389,761

Disclosure of % of AUM by geography

Geographical Spread	**% of Total AUM as on the last day of the Quarter**
Top 5 Cities	84%
Next 10 Cities	11%
Next 20 Cities	3%
Next 75 Cities	2%
Others	5%
Total	**100%**

AUM Report for Qtr ended 31st Mar 2011

Asset class wise disclosure of AUM & AAUM (in Rs L)

Category	AUM as on the last day of the Quarter	Average AUM for the Quarter
Income	213,383	244,957
Equity (other than ELSS)	25,916	24,223
Balanced	-	-
Liquid	90,503	130,430
Gilt	154	128
Equity - ELSS	3,543	3,246
GOLD ETF	-	-
Other ETF	-	-
Fund of Fund investing overseas	-	-
Total	333,499	402,984

Disclosure of % of AUM by geography

Geographical Spread	**% of Total AUM as on the last day of the Quarter**
Top 5 Cities	90%
Next 10 Cities	8%
Next 20 Cities	2%
Next 75 Cities	1%
Others	0%
Total	**100%**

Annexure

AUM Report for month ended 31st Mar 2010

Asset class wise disclosure of AUM & AAUM (in Rs. L)

Category	AUM as on the last day of the Quarter	Average AUM for the Quarter
Income	222,105	210,993
Equity (other than ELSS)	21,784	21,450
Balanced	-	-
Liquid	17,345	15,336
Gilt	174	175
Equity - ELSS	3,320	3,149
GOLD ETF	-	-
Other ETF	-	-
Fund of Fund investing overseas	-	-
Total	**264,728**	**251,101**

Disclosure of % of AUM by geography

Geographical Spread	% of Total AUM as on the last day of the Quarter
Top 5 Cities	96%
Next 10 Cities	3%
Next 20 Cities	1%
Next 75 Cities	0%
Others	0%
Total	**100%**